

30 CHAPTERWISE IMPORTANT QUESTIONS

Social Science (087) | CBSE 2026-27

Money and Credit

Economics | Board-examinable

30 original revision questions with answers: short-answer, competency, assertion-reason and long-answer practice. Set is based on the current syllabus and official question-paper style; it is not a prediction or an official CBSE paper.

Question 1

How does money solve the problem of double coincidence of wants?

Answer:

A person can sell a good for money and use that money later to buy a different good. The buyer and seller no longer need to want each other's goods at the same time.

Question 2

What are the main terms of credit a borrower should compare?

Answer:

Compare the interest rate, collateral, required documents, repayment period, and conditions. These terms determine the total cost and risk of a loan.

Question 3

How can self-help groups improve access to credit for rural borrowers?

Answer:

Members save regularly and lend from a shared fund. Group responsibility can help people without collateral access small loans, while also encouraging financial discipline and collective support.

Question 4

What is the central idea or skill tested in Money and Credit?

Answer:

The central focus is: A person can sell a good for money and use that money later to buy a different good. This is the starting point for a strong answer from this chapter.

Question 5

Write two relevant points for a short answer based on Money and Credit.

Answer:

First point: A person can sell a good for money and use that money later to buy a different good. Second point: Compare the interest rate, collateral, required documents, repayment period, and conditions. Link the two points clearly instead of listing them without explanation.

Question 6

How does the first key idea in Money and Credit lead to an important result or conclusion?

Answer:

Begin with the key idea: A person can sell a good for money and use that money later to buy a different good. Then connect it to the result: Compare the interest rate, collateral, required documents, repayment period, and conditions.

Money and Credit - Continued

Question 7

What evidence, calculation, incident or concept best supports the first main idea in Money and Credit?

Answer:

Use this supporting detail: A person can sell a good for money and use that money later to buy a different good. The buyer and seller no longer need to want each other's goods at the same time. The relevant detail should be stated before giving the final conclusion.

Question 8

Explain the importance of the second major idea in Money and Credit.

Answer:

Compare the interest rate, collateral, required documents, repayment period, and conditions. These terms determine the total cost and risk of a loan. Its importance lies in showing how the chapter develops the topic beyond a simple fact or definition.

Question 9

What common mistake should a student avoid while answering a question from Money and Credit?

Answer:

Do not give only a conclusion. Explain the reasoning with a correct detail, such as: Members save regularly and lend from a shared fund.

Question 10

Compare the first and second important ideas in Money and Credit.

Answer:

The first idea is: A person can sell a good for money and use that money later to buy a different good. The second idea is: Compare the interest rate, collateral, required documents, repayment period, and conditions. A complete comparison states both the difference and the connection between them.

Question 11

Show a cause-and-effect link from Money and Credit.

Answer:

Cause or starting point: A person can sell a good for money and use that money later to buy a different good. Effect or outcome: Compare the interest rate, collateral, required documents, repayment period, and conditions. Use connecting words such as 'therefore', 'as a result', or 'thus'.

Question 12

What is the most useful sequence for explaining the main content of Money and Credit?

Answer:

A clear sequence is: A person can sell a good for money and use that money later to buy a different good. Next, Compare the interest rate, collateral, required documents, repayment period, and conditions. Finally, Members save regularly and lend from a shared fund.

Money and Credit - Continued

Question 13

Give a 40-50 word answer outline for an important question from Money and Credit.

Answer:

Start with the direct answer: A person can sell a good for money and use that money later to buy a different good. Add one supporting point: Compare the interest rate, collateral, required documents, repayment period, and conditions. End with the outcome or message: Members save regularly and lend from a shared fund.

Question 14

How should you support an answer from Money and Credit with a relevant example or fact?

Answer:

Use a precise example or explanation: A person can sell a good for money and use that money later to buy a different good. State the fact, then explain its significance rather than leaving it as a name or date alone.

Question 15

How can an examiner see that you understand, rather than memorise, Money and Credit?

Answer:

Connect the idea to its reason or result. For instance: Compare the interest rate, collateral, required documents, repayment period, and conditions. Then explain why this point matters in the chapter's context.

Question 16

State one inference that can be drawn from the main situation or concept in Money and Credit.

Answer:

A sound inference is that members save regularly and lend from a shared fund. This inference must be supported by a relevant point from the chapter.

Question 17

Frame a short competency-based response using the first two ideas in Money and Credit.

Answer:

Apply the concept by first stating: A person can sell a good for money and use that money later to buy a different good. Then justify the response with: Compare the interest rate, collateral, required documents, repayment period, and conditions.

Question 18

What would make an answer from Money and Credit incomplete?

Answer:

An answer is incomplete if it omits the explanation or final implication. Include both: A person can sell a good for money and use that money later to buy a different good. Also add: Members save regularly and lend from a shared fund.

Money and Credit - Continued

Question 19

Prepare an Assertion-Reason style explanation based on Money and Credit.

Answer:

Assertion: A person can sell a good for money and use that money later to buy a different good. Reason: Compare the interest rate, collateral, required documents, repayment period, and conditions. Check whether the reason actually explains the assertion before choosing an option.

Question 20

How should you justify an answer from Money and Credit in two clear steps?

Answer:

Step 1: state the concept or event - A person can sell a good for money and use that money later to buy a different good. Step 2: support it with the explanation or result - Compare the interest rate, collateral, required documents, repayment period, and conditions.

Question 21

What answer structure is suitable for a 3-mark question from Money and Credit?

Answer:

Use three connected points: A person can sell a good for money and use that money later to buy a different good. Compare the interest rate, collateral, required documents, repayment period, and conditions. Members save regularly and lend from a shared fund. Keep the points specific and write them in a logical order.

Question 22

What answer structure is suitable for a 5-mark question from Money and Credit?

Answer:

Give an introduction, develop these key points - A person can sell a good for money and use that money later to buy a different good. Compare the interest rate, collateral, required documents, repayment period, and conditions. - and close with: Members save regularly and lend from a shared fund. Add a diagram, equation, example, or textual reference where relevant.

Question 23

How can the ideas in Money and Credit be applied to a new situation or case study?

Answer:

Identify the relevant principle first: A person can sell a good for money and use that money later to buy a different good. Then use the chapter's reasoning to explain the case: Compare the interest rate, collateral, required documents, repayment period, and conditions.

Question 24

Which detail from Money and Credit is most likely to earn an extra mark when explained correctly?

Answer:

A useful detail is: Members save regularly and lend from a shared fund. Explain it in context instead of using it as an isolated statement.

Money and Credit - Continued

Question 25

Write a brief concluding statement for an answer on Money and Credit.

Answer:

A suitable conclusion is: Members save regularly and lend from a shared fund. This conclusion should follow naturally from the explanation rather than introduce a new point.

Question 26

Make a three-point revision note for Money and Credit.

Answer:

1. A person can sell a good for money and use that money later to buy a different good. 2. Compare the interest rate, collateral, required documents, repayment period, and conditions. 3. Members save regularly and lend from a shared fund. Revise these points with the chapter's examples, terms, and practice questions.

Question 27

How would you self-check an answer from Money and Credit before submitting it?

Answer:

Check that you have answered the exact question, used the key idea - A person can sell a good for money and use that money later to buy a different good. - and supported it with a reason, example, calculation, or outcome such as: Compare the interest rate, collateral, required documents, repayment period, and conditions.

Question 28

Why does Money and Credit remain important for revision?

Answer:

It combines factual recall with explanation and application. The main takeaways are: A person can sell a good for money and use that money later to buy a different good. Compare the interest rate, collateral, required documents, repayment period, and conditions. Members save regularly and lend from a shared fund.

Question 29

Create a final 60-80 word answer plan for a long question from Money and Credit.

Answer:

Opening: A person can sell a good for money and use that money later to buy a different good. Development: Compare the interest rate, collateral, required documents, repayment period, and conditions. Conclusion: Members save regularly and lend from a shared fund. Use complete sentences and include all required evidence, steps, or references.

Question 30

What is one last-minute revision question you should ask yourself about Money and Credit?

Answer:

Ask: 'Can I explain why this is true or important?' A correct self-answer should include: A person can sell a good for money and use that money later to buy a different good. and Compare the interest rate, collateral, required documents, repayment period, and conditions.

Sources: CBSE Social Science curriculum 2026-27; CBSE Class X sample papers and marking schemes 2026-27; NCERT textbooks.